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# Goldfinger Governor

# Foreign Exchange Reserve Management

I authorized the Reserve Bank's purchase of 200 tonnes of gold from the IMF in November 2009. There was deep irony in this for two reasons.

## The Purchase of Gold from the IMF

First, back during the 1991 balance of payments crisis, it fell to my lot as a joint secretary in the finance ministry to sign the agreement on behalf of the government, authorizing the Reserve Bank to pledge our gold reserves to secure foreign exchange for our rapidly depleting coffers. By sheer accident, this purchase of gold in 2009 from the IMF to buffer our foreign exchange reserves happened to take place on my watch as governor. The second irony surrounding this transaction was that even as the Reserve Bank eagerly bought gold in 2009, in the later years of my governorship, we were not only preaching to the public to desist from buying gold, but had actually instituted regulations to discourage the practice.

Well, the irony, if any, was superficial, and to understand why, I must tell the full story. The Reserve Bank's foreign exchange reserves comprise foreign currency assets, gold and SDRs (Special Drawing Rights) issued by the IMF.[1] When I took office as governor in September 2008, I inherited 357.7 tonnes of gold, which was about 3.5 per cent of our total forex reserves of that time. There was a view within the Reserve Bank that we must raise the proportion of gold in the reserves as a risk-diversification measure since gold and dollar values move in opposite directions in global markets. The counterargument was that gold, in contrast to foreign currency